

Whittle et al. v. The Queen in Right of Ontario as
Represented by the Minister of Transportation and
Communications *

[Indexed as: Whittle v. Ontario (Minister of Transportation &
Communications)]

24 O.R. (3d) 394
[1995] O.J. No. 4891

Ontario Court (General Division),
McLean J.
June 29, 1995

* Note: An appeal from the following judgment of McLean J. to the Ontario Court of Appeal (Morden A.C.J.O., McKinlay and Laskin J.J.A.) was allowed in part on October 30, 1996. See 31 O.R. (3d) 573 in this database.

Damages -- Personal injuries -- Deductions -- Plaintiff in civil action for damages arising out of motor vehicle accident having sought arbitration after his insurer stopped paying no-fault benefits -- Insurer claiming over-payment -- Arbitration not concluded when judgment given for plaintiff in civil action -- Deduction of no-fault benefits from damages award inappropriate at this point -- Trial judge imposing trust with respect to amount of no-fault benefits in issue -- Amount held in trust to be paid over to plaintiff in such amount as arbitrator reduced no-fault benefits to plaintiff -- Remainder of trust to be dissolved and remaining funds to revert to defendant after arbitration became final.

The plaintiff was injured when concrete fell from an overpass onto the roadway as the plaintiff approached the overpass. He brought an action for damages for personal injuries.

Held, the action should be allowed.

The Ministry of Transportation was aware that concrete fell off the overpass in question. Despite this knowledge, no signs were changed and no warning to motorists was given. The Ministry was liable to the plaintiff.

As a result of the accident, the plaintiff suffered soft tissue injuries and trauma to his acromioclavicular joint. The injury made it impossible for him to perform physical labour. The plaintiff had little formal education and was at an age when retraining was impractical. His claim for general damages should be allowed in the amount of \$28,000, and he should be awarded damages for loss of future earnings in the amount of \$112,000, along with damages for wage loss to date in the amount of \$140,468.57.

The defendant contended that no-fault benefits should be deducted from the award of damages. At some point, the plaintiff's insurer had stopped paying no-fault benefits to the plaintiff and claimed an overpayment. The plaintiff sought an arbitration of this issue. The arbitration was not yet concluded. Since the matter of quantum of no-fault benefits was to be arbitrated, it was not possible to tell what should be deducted from the award of damages. The appropriate solution was to impose a trust with respect to the amount of no-fault benefits in issue, the money to be paid over to the plaintiff in such an amount as the arbitrator may reduce the no-fault benefits to the plaintiff. After the arbitration becomes final, the remainder of the trust should be dissolved and the remaining funds should revert to the defendant.

Cox v. Carter (1976), 13 O.R. (2d) 717 (H.C.J.), *consd*

Other cases referred to

Gould v. Perth (County) (1983), 42 O.R. (2d) 548, 149 D.L.R. (3d) 443, 24 M.V.R. 49 (H.C.J.)

Statutes referred to

Courts of Justice Act, R.S.O. 1990, c. C.43
Family Law Act, R.S.O. 1990, c. F.3
Insurance Act, R.S.O. 1990, c. I.8, s. 267(1), (4)

ACTION for damages for personal injuries.

J. Daniel Dooley and James L. Vigmond, for plaintiffs.

Kenneth J. Coulson, for defendant.

McLEAN J.: -- About 1:00 p.m. on June 30, 1990, Mr. Whittle the plaintiff was driving north on Highway 400. When he approached the Rutherford Road overpass, some concrete fell on the roadway. Mr. Whittle tried to avoid it but apparently ran over some of it with his left rear wheel. This threw him about in the truck cab and damaged the left rear rim and tire of his vehicle. After Mr. Whittle regained control, he drove his vehicle to the left shoulder of the highway.

The concrete fell from the Rutherford Road overpass, an older structure. It was replaced after the accident had occurred. There is no dispute between the parties that because of the age of the structure and the increased size of transport trucks, the tops of transport trailers often hit the overpass. This was particularly true in the outer highway lanes as the bridge was an arched structure. The centre of the bridge was the highest point and it decreased in height to each side.

It is obvious from the Ministry officials and the documents filed in ex. 8 that for several years the Ministry was concerned about this structure. There were many meetings and memos written about how to prevent trucks from hitting the structure. Some at the Ministry thought the roadway should be lowered to increase the clearance for vehicles. Others there considered road signs to make the height restriction more apparent to oncoming traffic. The Ministry did nothing until eventually they replaced the structure with a new, higher one.

This is perhaps the reason that the Ministry followed none of the suggestions discussed.

The Ministry was also aware from their patrol records that after motor vehicle strikes, concrete was likely to fall from the structure. There were pictures filed which show the damage to the bridge after the accident and it seems likely that that was its condition at the time of the accident.

The situation at the Ministry is summed up in the evidence of Mr. Steve Parks, its employee, where he said and I quote:

Something more should have been done -- could have been done, but what possibility -- everyone wrote letters, nobody agreed on what, what to do with it. From what I gather here that everybody had their own recommendations of what they -- they thought, but nobody agreed on it as structural engineers.

The Ministry argued that concrete would not come off the bridge unless it was struck. Constable Ducette of the O.P.P., the investigating officer, testified that when he arrived at the accident scene he saw a truck damaged by material that had fallen from the bridge. He noted also that the truck could easily have gone under the bridge and that it did not hit the bridge. He also recalled a previous incident of concrete falling from this bridge but he could not recall whether it was before or after. The Ministry was aware of this concrete problem. How the concrete came off the bridge is not so important as the fact the Ministry knew it would come off it from time to time.

As a result of the accident Mr. Whittle suffered various injuries mostly of a soft tissue nature. However, he also suffered trauma to his acromioclavicular joint (A/C joint). According to Doctor Robert Welsh, a well-known orthopaedic surgeon specializing in shoulder problems, a severe jolt such as hitting the roof or the side of the cab of the truck could have caused such an injury.

Doctor Welsh, who saw Mr. Whittle for the purposes of a defence medical, conducted surgery on this joint on June 14,

1993. The surgery consisted of removing part of the end of the uppermost portion of the joint and trimming its meniscus. Surgery was successful in relieving Mr. Whittle's almost continuous discomfort.

Mr. Whittle was also examined by Doctor Robin Richards, another well-respected shoulder specialist. His findings were consistent with those of Doctor Welsh. Both gave evidence that Mr. Whittle could not continue to work in an occupation that required lifting or other use of his shoulder joint that was continuous or repetitive. His difficulty is this use of the shoulder is required by his previous occupation.

Mr. Whittle's employment problem is particularly compounded by his background. Mr. Whittle came to Canada several years ago from Jamaica. He did not have many advantages in Jamaica and he received a minimal education. This specifically prevents him from gaining employment opportunities outside of what he has already been doing. To the date of the injury Mr. Whittle was a labourer. He originally worked in the sugar cane fields of his native Jamaica. He then was involved as a carpenter's helper in other Caribbean projects. When he came to Canada, he worked in industry, carpentry and finally as a bricklayer's helper. All these jobs are physically very demanding. In his last occupation he put up heavy scaffolding to allow the bricklayers to begin work. Then he had to tear down the scaffolding when they were finished. He also did other tasks such as: moving bricks around, making and carrying mortar and cleaning up the job sites.

Aldo Morocco, his previous employer, said that he was always very willing to work and actually seemed to enjoy the physical nature of the work, itself. It seems plain that Mr. Whittle worked almost continuously from his arrival in Canada until the accident. His wife was clear that although they had other difficulties in their relationship, Mr. Whittle was always a good provider for his family.

As a result of the accident, Mr. Whittle had great difficulty going back to his previous employment. He tried several times but was unsuccessful. The evidence from both sides suggests

that Mr. Whittle cannot return to his former employment. His injury will not allow him to meet the physical demands necessary to fulfil that occupation. Mr. Whittle now finds himself in an extremely difficult situation. He physically cannot continue in the work that he was employed in in the past but because of his lack of education and age he cannot be easily retrained for another occupation. The difficulty is that it will take a long time to retrain Mr. Whittle given his age and his lack of education. Even if he were to upgrade his skills, he might be too old to find employment in a new field. Mr. Whittle's path is fraught with difficulties.

There are four issues:

- (1) liability;
- (2) general damages;
- (3) damages for loss of earnings;
- (4) deduction of no-fault payments.

(1) Liability

Obviously the Ministry knew about the difficulties with the bridge. There were many meetings and memos dealing with this issue. However, well before the accident the Ministry decided to rebuild the whole structure. Meanwhile, nothing was done to protect the public. The Ministry knew that concrete would fall from the bridge because of the number of collisions. The Ministry statistically estimated in 1986 that there would be at least 20 collisions a year (ex. 8, p. 20). Despite that, no signs were changed and no warning was given. This situation continued despite warnings from various Ministry officials.

The case of *Gould v. Perth (County)* (1983), 42 O.R. (2d) 548 at pp. 556-57, 149 D.L.R. (3d) 443 (H.C.J.), Southey J. describes the duty imposed upon the Ministry in respect of its highways in these terms:

Liability will only result where the situation gives rise to

an unreasonable risk of harm to users of the highway, and the authority has failed to take reasonable steps to eliminate or reduce the danger within a reasonable time after it became aware, or ought to have become aware, of its existence.

Here, the Ministry was not only aware of the danger, but had several meetings on the subject of its alleviation. They knew the new structure would solve the problem. Despite these meetings, they failed to do anything to protect the public in the interim. They allowed the risk to be assumed by the public. Therefore, it is quite clear on the evidence that the Ministry is liable.

(2) General Damages

I will now go on to deal with the issue of damages under two heads: General damages, and damages for loss of future earnings or economic opportunity.

I allow Mr. Whittle's claim for general damages in the amount of \$28,000. Mr. Whittle has undergone a considerable amount of pain and suffering and has had shoulder surgery.

There is also a claim by Mrs. Whittle under the Family Law Act, R.S.O. 1990, c. F.3, in the amount of \$20,000. I allow this claim in the amount of \$5,000. I have reduced the amount because I consider that they do not have a stable marriage and the further fact that they separated while Mr. Whittle was still suffering the effects of his injuries.

(3) Wage Loss and Damages for Loss of Future Earnings or Loss of Economic Opportunity

I will now deal with this head of damage.

As I have stated in my review of the facts, Mr. Whittle was working as a bricklayer's assistant at the time of the accident. He was born on the 11th day of July, 1946. Before the accident he was in good health. As I have stated before, the first difficulty in this assessment is finding Mr. Whittle's wage rate before the accident. The difficulty is the employment

records of his former employer. Mr. Whittle worked before the accident for Aldo Morocco, a bricklayer. Mr. Morocco kept minimal records. He also went bankrupt and it is very difficult to discover the exact wage rate that Mr. Whittle was making before the accident. The evidence here is confused in the sense that the records are either nonexistent or very sketchy. However, it seems on a consideration of all the evidence from Mr. Morocco, Mr. Whittle and Ms. Paula Oliveri, I find that as at the date of his injury he made \$21.86 per hour. Therefore I find that his wage loss to date, exclusive of prejudgment interest and deduction for no-fault benefits but less undisputed deductions is \$140,468.57. This is also after deduction of wages received during this period.

I then come to the future loss of income. As I have said, the main problem for Mr. Whittle is that he will have great difficulty becoming employed up to his previous level. This is because of his lack of education, his age and his injury. It seems however clear from the evidence that Mr. Whittle will obtain employment of some sort. He is very motivated and always found employment since his arrival in Canada. Indeed, it must be very difficult for Mr. Whittle not to be working from his point of view.

I find the wage loss or loss of future earnings reduced by contingencies for employment and other economic factors to be the sum of \$112,000.

(4) Deduction of No-Fault Payments

The final issue to be decided is the deduction of previously paid no-fault payments. To date Allstate, which is Mr. Whittle's own insurer, has paid him the sum of \$120,528.80. This, according to counsel, was one of the first cases under the then new insurance regime. At some time in the past Allstate stopped paying these benefits to Mr. Whittle. He, in turn, sought an arbitration of this issue under the insurance rules. As part of this arbitration in January 1995, Allstate raised the issue of the amount and details of no-fault payments to Mr. Whittle. They claim an overpayment. Therefore, the amount of \$120,528.80 is in question. We will not deal with certain small amounts

that are not in issue between the parties.

The defendant holds that under s. 267(1) of the Insurance Act, R.S.O. 1990, c. I.8, these payments should be deducted. Section 267 reads as follows:

267(1) The damages awarded to a person in a proceeding for loss or damage arising directly or indirectly from the use or operation of an automobile shall be reduced by,

- (a) all payments that the person has received or that were or are available for no-fault benefits and by the present value of any no-fault benefits to which the person is entitled;
- (b) all payments that the person has received under any medical, surgical, dental, hospitalization, rehabilitation or long-term care plan or law and by the present value of such payments to which the person is entitled;
- (c) all payments that the person has received or that were or are available for loss of income under the laws of any jurisdiction or under an income continuation benefit plan and by the present value of any such payments to which the person is entitled; and
- (d) all payments that the person has received under a sick leave plan arising by reason of the person's occupation or employment.

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(4) A person who has made a payment or who has a liability to pay a benefit described in clause (1)(a), (b), (c) or (d) is not subrogated to a right of recovery of the insured against another person in respect of that payment or benefit.

The difficulty with that argument is that since the matter of quantum of no-fault benefits is to be arbitrated, it is not possible for this court to tell what should be deducted. It is

clear from the case of *Cox v. Carter* (1976), 13 O.R. (2d) 717 (H.C.J.) (Morden J.), that the scheme of no-fault deduction is to prevent double recovery. Quite simply, that you should not receive no-fault payments and benefits from the defendant for the same claim. There is nothing, however, in that judgment which gives a reason to interpret the Act to reduce recovery below what would otherwise be paid either from no-fault benefits or from the defendant.

The defendant argues that "the no-subrogation rule" in s. 267(4) means that the defendant's insurer cannot become involved with the arbitration between Whittle and Allstate. The defendant further argues that because this is the case, they are prejudiced by the court considering the arbitration between Whittle and Allstate in that they are not a party to it although they may be bound by it. This, indeed, may be an anomaly in the Act. However, I feel that this is not determinative of the issue. The "no double recovery rule" and the "no subrogation rule" do not foreclose me from considering the effect of the arbitration on the judgment. When one considers the legislation as a whole, the main thrust is to provide the maximum benefit to claimants fairly and simply.

Clearly arbitration of insurance issues is part of this scheme. Arbitration is obviously intended to reduce delay and the expense of proceedings. Similarly, it seems that the no-subrogation rule is part of this cost reduction formula in that it adds certainty to the plan so that insurance companies know exactly which costs an insurer must cover and carry reserves for. There is certainty as these costs cannot be claimed from anyone else. The legislature feels that certainty will simplify and quicken proceedings and thence reduce expenses. It is an admirable goal.

The defendant's argument that I should not consider the arbitration because the plaintiff could have brought all the issues together before this forum is not successful when we consider the facts of this arbitration. The plaintiff brought the arbitration itself when no-fault payments were stopped. In January of this year Allstate brought the issue of details and amount of payments before the arbitrator. This it is entitled

to do under the Act. It seems that once arbitration commenced, then it is an exclusive right. However, I received no argument on this point. From a practical standpoint, it does not seem appropriate that once an action is on the trial list, that it is further delayed awaiting an arbitration of a collateral matter. It is not a practical approach. It is to be noted that the defendant did nothing to combine the proceedings and arbitration even though they claim prejudice. Obviously the court must consider the arbitration amount as part of this judgment.

The difficulty is how to deal with it. From the case of Cox v. Carter, supra, it appears that the law of trusts can be used in this area to give a judgment finality. This case is essentially the reverse of Cox v. Carter, supra, where the judge was dealing with future payments held in trust to avoid over-payment. Here it is a case of subsequent reduction.

Judgment will therefore issue in the amounts previously set forth together with a sum of \$120,528.80 which will be held in trust by the defendant for the benefit of this action and shall be paid over to the plaintiff in such an amount as the arbitrator may reduce the no-fault payments to the plaintiff. After the arbitration becomes final, including any appeal therefrom, the remainder of the trust will be dissolved and the remaining funds shall revert to the defendant.

Conclusion

The plaintiffs shall receive the following sums:

(1) Damages of Fitzgerald Whittle

(a) General damages for Fitzgerald Whittle	\$28,000.00
(b) Wage loss	\$140,468.57
(c) Future loss of earnings	\$112,000.00
(d) Held in trust	\$120,528.80

(e) The plaintiff Patsy Whittle under
the Family Law Act \$ 5,000.00

Prejudgment interest is payable on (a), (b), (c) and (e)
pursuant to the Courts of Justice Act, R.S.O. 1990, c. C.43.

Costs

If there is any difficulty with the calculation of interest
or the issue of costs, I may be addressed within 30 days of the
release of this judgment in writing.

Judgment for plaintiff.